

Attrition Report

Presented By:

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Business Problem Statement

The organization is facing a high attrition rate of **16.1%**. This turnover is heavily concentrated among new hires during their initial year—reaching an early attrition rate of **36.36%** for staff with under **1 year** of experience—alongside employees working consistent overtime, pointing to underlying issues in onboarding and workload allocation.

Project Objective

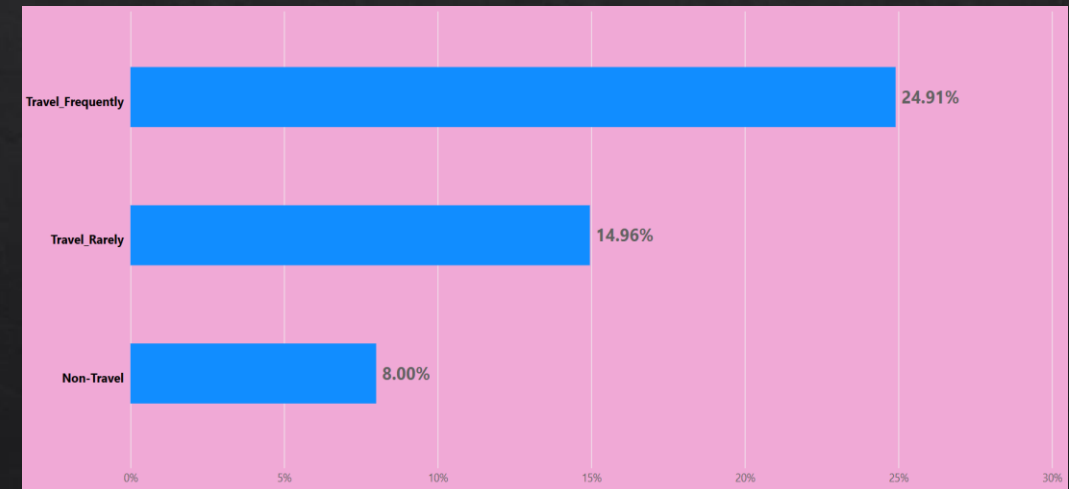
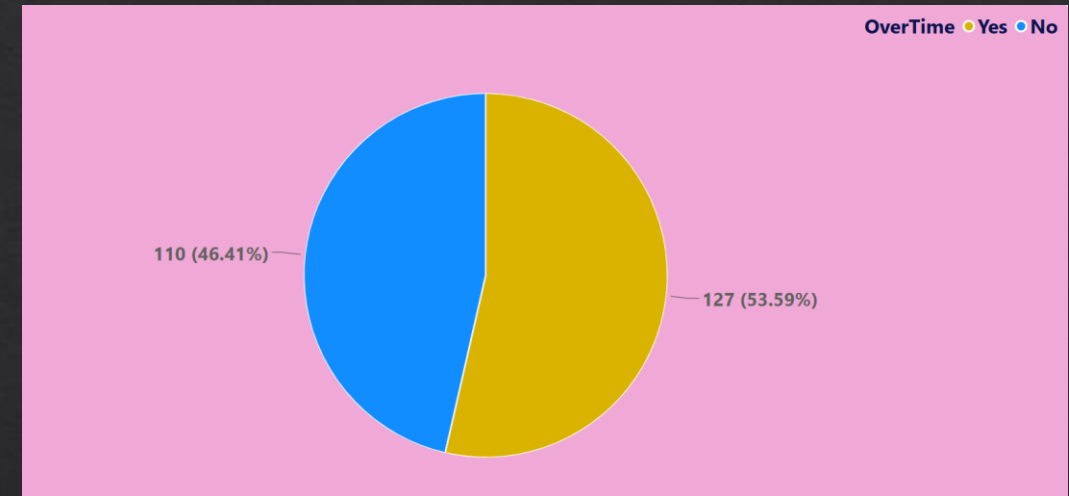
Evaluate HR data to isolate the main drivers of employee departure, identify high-risk organizational segments, and deliver actionable, data-supported recommendations designed to enhance retention and stabilize human capital.

Overall KPIs

- Total Employees: 1470
- Average Years at the Company: 7.01 years
- Median Monthly Income: 4,919
- Total Attrition: 237
- Attrition Rate: **16.12%**
- **Attrition Rate for Employees Who Work Overtime: 53.59%**

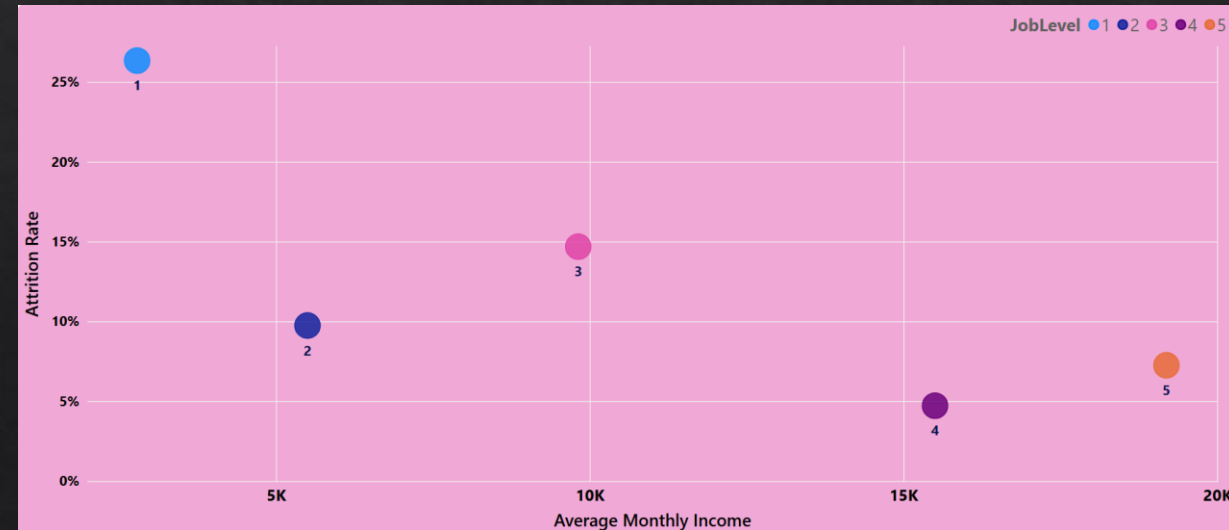
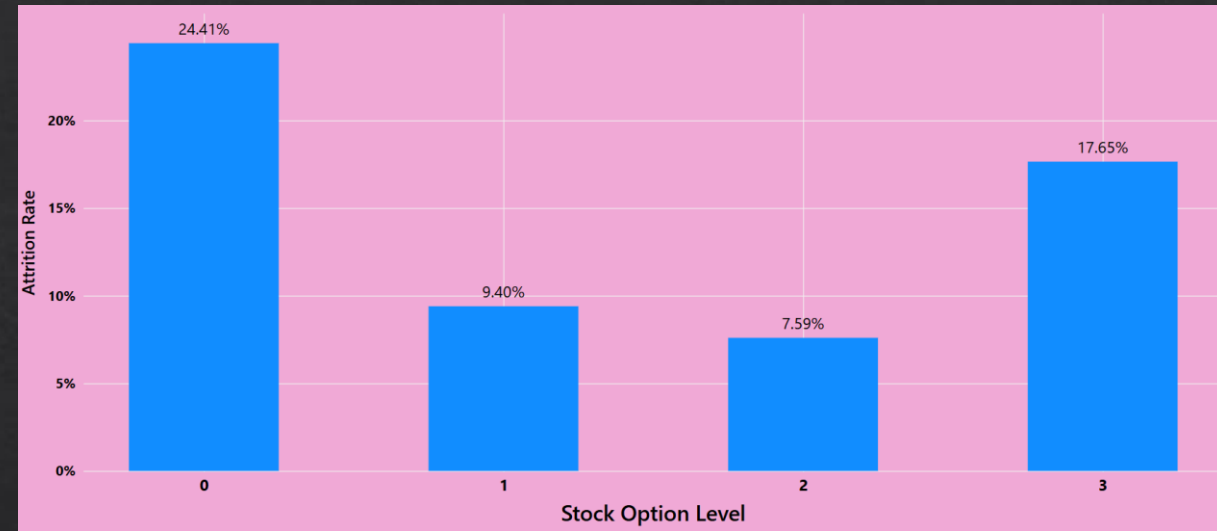
Top Attrition Drivers

- **Overtime Impact on the Attrition rate: 53.6 % of employees who attrited were working overtime, which can't be neglected as a strong driver of attrition.**
- **Business Travel shows an impact also on attrition as we have 24.9 % attrition for employees who travel frequently, which needs a look at the travel policy and organizing.**



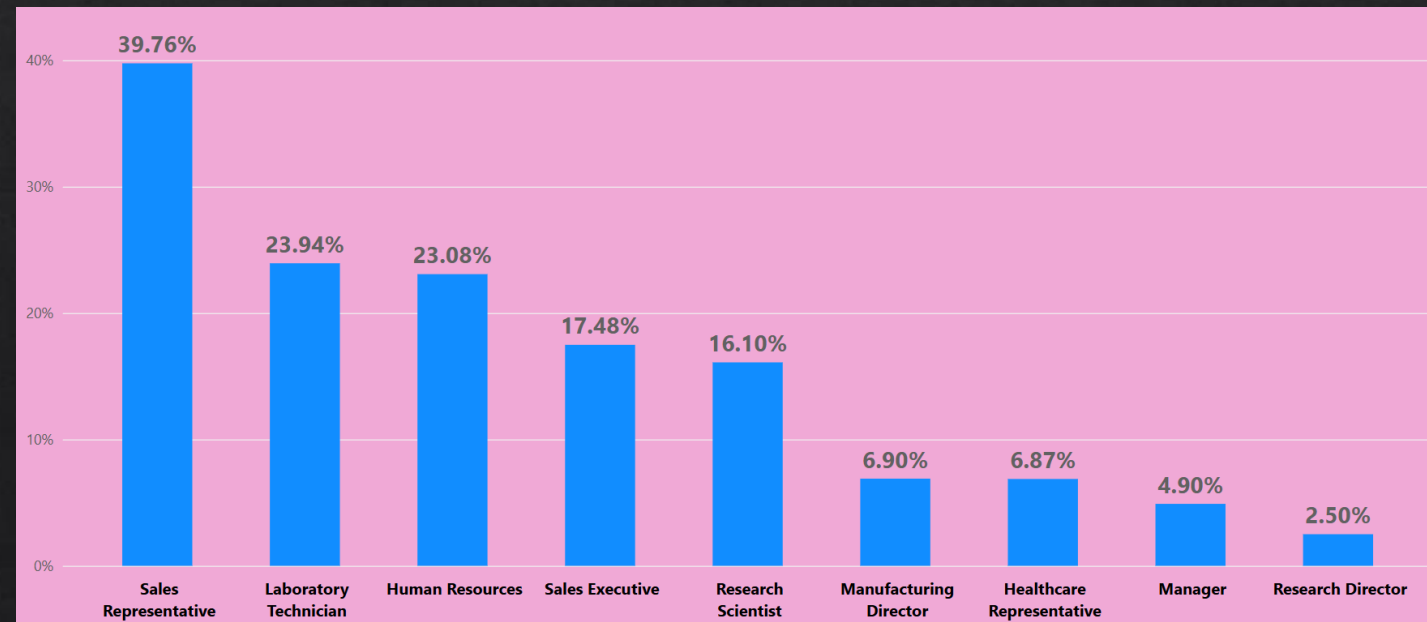
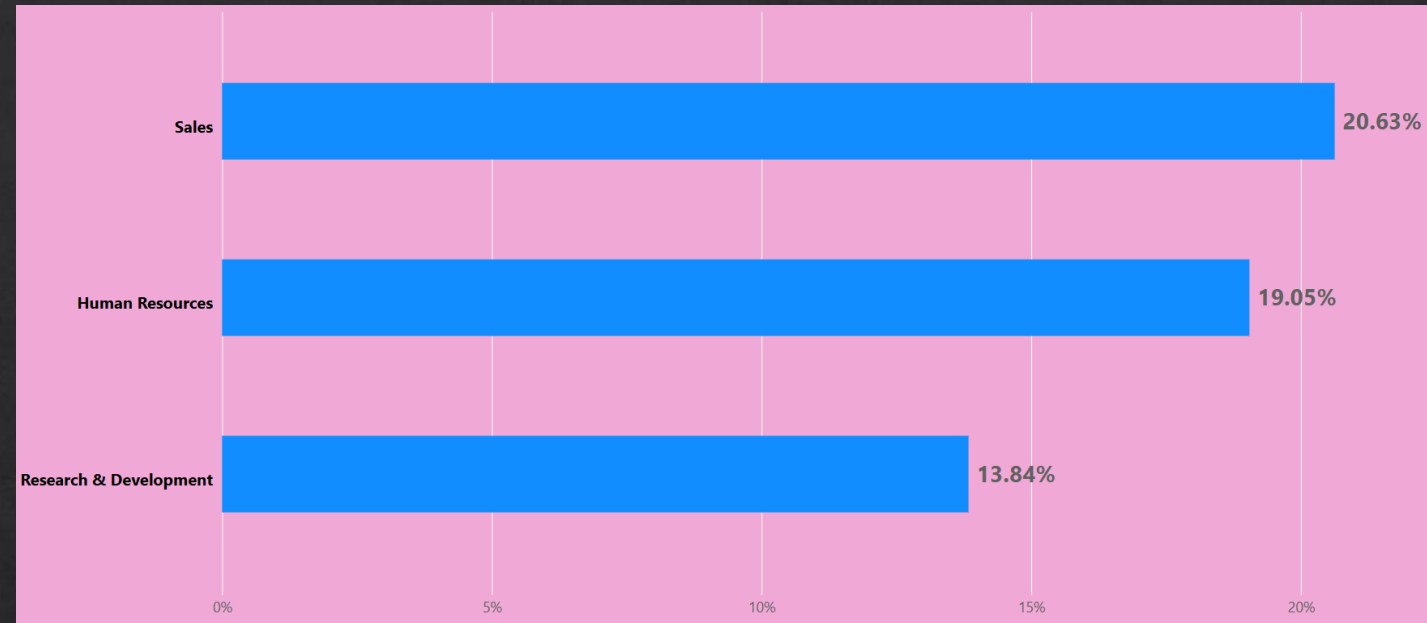
Pay & Stock Options

- **Stock options show a high impact on the attrition rate, as employees with no stock options have the highest chance of attrition, at 24.4 % attrition Rate.**
- **Employees with low monthly income relative to their job level also have a high chance of attrition, above 25 %**



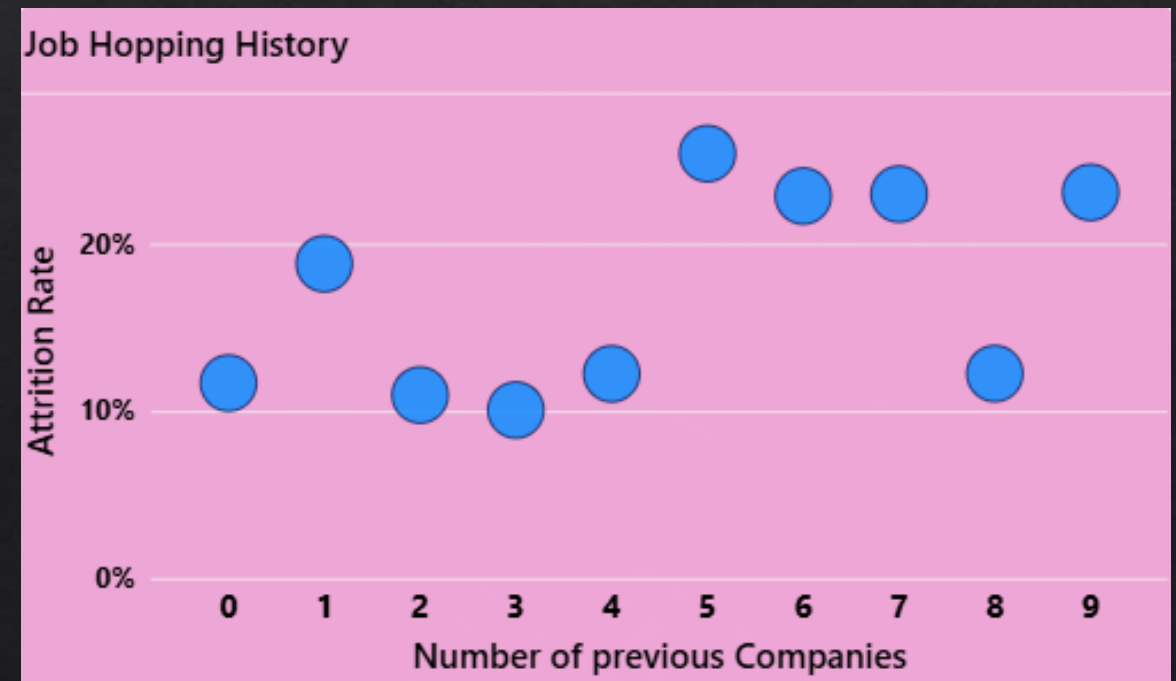
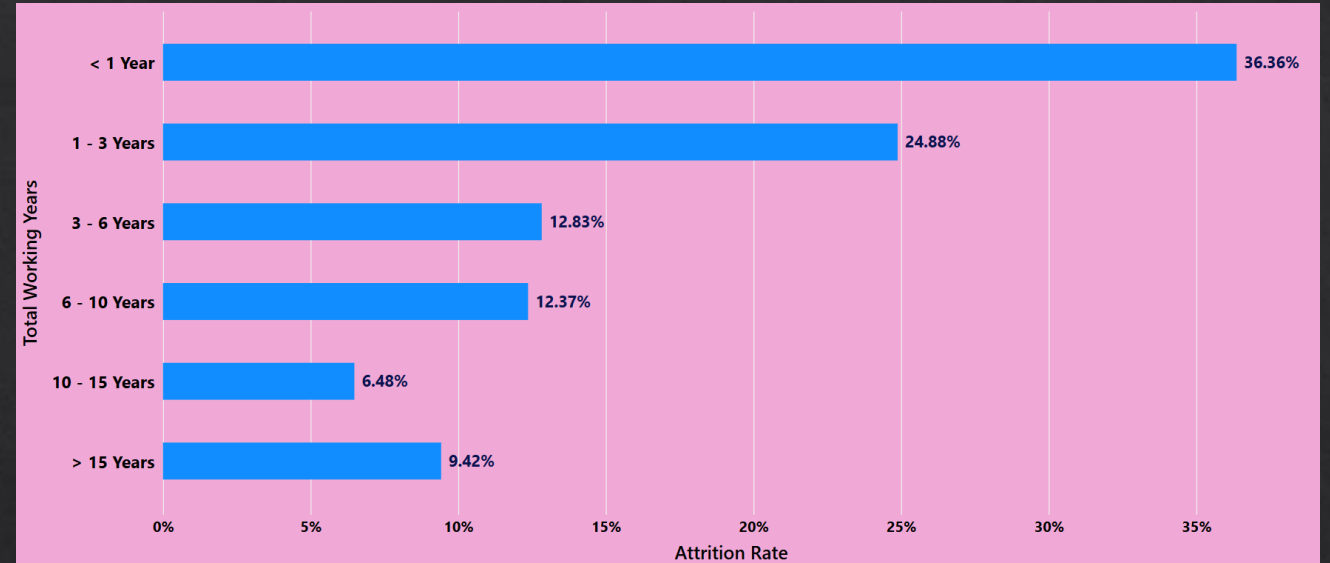
High-Risk Areas

- **The Sales Department has the highest attrition rate among departments, at 20.6 %.**
- **Breaking down the Sales Department further, the Sales Representative role shows a critically high attrition rate of 39.8 %.**



Tenure & Career History

- Grouping employees by tenure before attrition (“**Tenure Vulnerability**”) shows that employees with less than one year at the company have the highest attrition chance, at 36.36% — pointing to possible onboarding issues.
- Employees with 5 or more previous jobs show a high attrition chance, more than 25%.



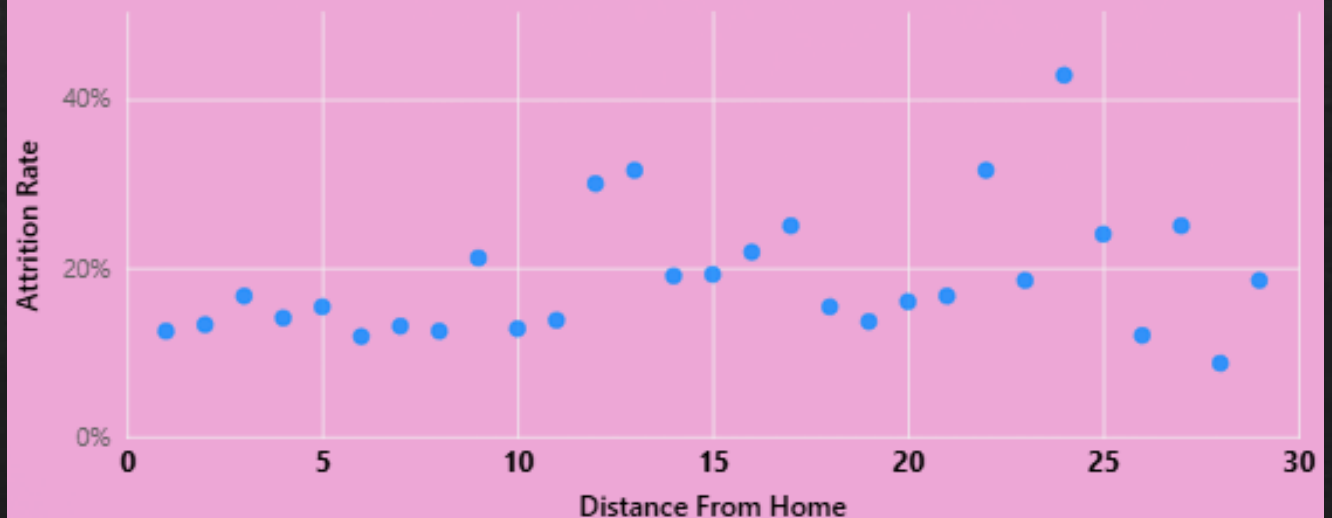
Satisfaction & work life balance

- Employees who attrited have a lower “satisfaction rate” than employees who haven’t, on average, across each metric.
- Distance from Home has a slight impact on attrition rate — as distance increases, attrition rate trends higher, reaching up to 40%.

The Relation Between Satisfaction rate for each Metric and Attrition Rate

Satisfaction Metric	No	Yes
EnvironmentSatisfaction	2.77	2.46
JobInvolvement	2.77	2.52
JobSatisfaction	2.78	2.47
RelationshipSatisfaction	2.73	2.60
WorkLifeBalance	2.78	2.66

The Impact of Distance from Home on Attrition Rate



Recommendations: Onboarding

- **Finding:** 36.36% of employees with less than one year at the company have left — the highest attrition rate among all tenure groups, pointing to gaps in onboarding.
- **Action:** Redesign the onboarding plan around the first 90 days, with structured check-ins and clear role expectations for new hires.
- **Expected Impact:** Reducing early attrition lowers rehiring and training costs, since replacing a new hire is more expensive than retaining one.

Recommendations: Overtime

- **Finding:** 53.6% of employees who work overtime have left — the strongest single driver of attrition in the data.
- **Action:** Redistribute workload across teams, or hire additional staff in high-overtime departments such as the Sales Department, instead of relying on extended hours.
- **Expected Impact:** Lower overtime-driven turnover reduces the recurring cost of replacing and retraining experienced employees.

Recommendations: Sales Department

- **Finding:** The Sales Department has the highest attrition rate among all departments, at 20.6%, driven mainly by the Sales Representative role (39.8%), frequent business travel (65%), and pay relative to job level (Job Level 1: 42%). Onboarding in this role also shows a high first-year attrition rate of 57%.
- **Action:**
 - Review the business travel policy for frequent travelers.
 - Reassess the salary structure for Job Level 1 roles.
 - Strengthen onboarding support specifically for new Sales Representatives.
- **Expected Impact:** Since Sales Representatives are the single most affected role, reducing their attrition delivers the largest cost savings on rehiring and training across the company.

Recommendations: On Data

- Adding voluntary vs nonvoluntary attrition will be very helpful for further analysis.
- Adding cost of recruiting new employee for each position will be very useful to determine the real cost of attrition.

End Of Presentation